How Is a Nespresso Capsule Possible?

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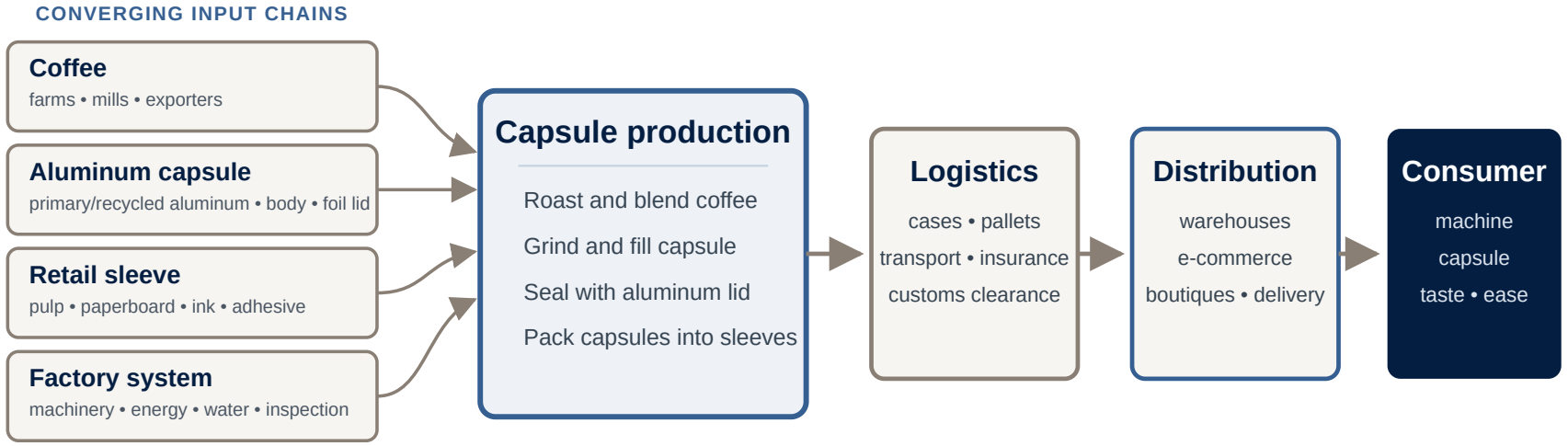
How is a Nespresso capsule possible?

> Before naming concepts, reconstruct the system: who had to know what, own what, move what, certify what, and enforce what?

The Hidden System Behind the Capsule

The system behind the capsule

Many supply chains converge in one coffee capsule



Every connection depends on an institutional foundation

prices • contracts • standards • finance • infrastructure • customs • regulation

The object is simple only because the system behind it is complex.

No one controls the whole system

No one person needs to understand the whole chain.

> Markets, prices, contracts, standards, finance, logistics, and public rules divide the coordination problem into manageable pieces.



What has to be coordinated?

- Coffee farming and processing
- Aluminum, packaging, and machine compatibility
- Shipping, finance, insurance, and customs
- Retail channels and brand control
- Food safety, labeling, and environmental rules

Three ways to see the same product

Market

Prices coordinate specialized producers who do not need to know the whole system.

Firm

Ownership, contracts, standards, and brand control organize activities across borders.

State

Customs, product rules, infrastructure, taxes, and enforcement shape what the firm can do.

> The same product can be analyzed simultaneously as a market-coordination problem, a firm-organization problem, and a public-rules problem.

The first analytical move

> In pairs: identify the **five most important actors or institutions** that make the capsule possible. For each one, write the contribution it makes that the final consumer does not see.

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product, many systems of coordination